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1.

Background Facts

Plaintiff

Hui Chiang filed this action against Defendant American Honda Motor Co., Inc. for violations of the Song-Beverly Act, breach of implied warranty, and fraudulent inducement – Concealment.

2.

Demurrer

a. Meet and Confer

California

Civil Procedure Code section 430.41 requires that “[b]efore filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc., §

430.41(a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Id., § 430.41(a)(2).)

Thereafter, the demurring party shall file and serve a declaration detailing their meet and confer efforts. (Id., § 430.41(a)(3).)

The meet and confer requirement also applies to motions to strike.

(CCP § 435.5.) Even so, failure to meet

and confer is insufficient grounds to sustain or overrule a demurrer. (CCP § 430.41(a)(4).)

Legal Standard

A

demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn (2007) 147 Cal.App.4th at 747.)

When

considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) Courts also consider exhibits attached to the complaint and incorporated by reference. (See Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94 (Frantz).)

b. Fraudulent Inducement –
Concealment (5th Cause of Action)

Defendant

argues Plaintiff’s fraudulent concealment allegations lack the required particularity, Plaintiff fails to plead the essential element of duty to disclose with particularity, Plaintiff has not adequately pled Defendant actively concealed the alleged defect, and Plaintiff’s fraudulent concealment claim is barred by the economic loss doctrine.

1.

Specificity

Firstly,

the Court notes that the general rule to “allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written” (Tarmann v. State Farm Mutual Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157) is

inapplicable to a claim of fraudulent concealment. (Alfaro v. Community Housing Improvement System & Planning Association, Inc. (2009) 171 Cal.App.4th 1356, 1384 (“How does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?”).) Instead, such details, in the context of a fraudulent concealment claim, “are properly the subject of discovery, not demurrer.” (Id. at pp. 1384-85; Tarmann, supra, 2 Cal.App.4th at p. 158 [“We acknowledge that the requirement of specificity is relaxed when the allegations indicate that ‘the defendant must necessarily possess full information concerning the facts of the controversy’ [Citation.]”].)

The Supreme Court’s recent decision in Rattagan re-affirms and clarifies this rule; although it held that the same specificity pleading standard for affirmative fraud applies to fraudulent concealment claims, it clarified that “the focus of inquiry shifts to the unique elements of the claim. [Citations.]” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 43.) Thus, in a concealment claim based on a defendant’s duty to disclose arising from the defendant’s exclusive knowledge, the complaint must specifically allege “(1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (Id. at pp. 43-44.)

In support of the Fraudulent

Inducement – Concealment claim, Plaintiff alleges the following facts:

(1) “that the 1.5L engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in loss of power, stalling, engine running rough, engine misfire(s), failure or replacement of the engine (the “Engine Defect”) (Compl., ¶ 47);

(2) “The Engine Defect causes unsafe conditions in vehicles equipped with the 1.5L

engine, including, but not limited to, the engine losing power while driving. These

conditions

present

a safety hazard because they severely affect the driver's ability to control the vehicle,

and

substantially increase the likelihood that the engine will fail, lose power, and/or cut off

during

operation, thereby resulting in accidents involving property damage, personal injury and

even

death" (Compl., ¶ 49);

(3) "prior

to sale of the Subject Vehicle, HONDA knew, or should have known, about the Engine Defect through its exclusive knowledge of non-public, internal data about the Engine Defect, including: pre-releasing testing data; early consumer complaints about the Engine Defect to Defendant Honda's dealers who are HONDA's agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant HONDA and its agents. Nevertheless, Defendant HONDA and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiff at the time of purchase of the Subject Vehicle or thereafter" (Compl., ¶ 51);

(4) " Reasonable consumers, like Plaintiff,

reasonably expect that a vehicle's engine is safe, will function in a manner that will not pose a safety hazard, and is free from defects. Plaintiff further reasonably expects that HONDA will not sell or lease vehicles with known safety defects, such as the Engine Defect, and will disclose any such defects to its consumers when it learns of them. Plaintiff did not expect Defendant HONDA to fail to disclose the Engine Defect to Plaintiff and to continually deny the defect." (Compl., ¶ 61);

(5) "The existence of the Engine Defect is a

material fact that a reasonable consumer would consider when deciding whether

to purchase or lease a vehicle equipped with a 1.5L engine. Had Plaintiff known that the Subject Vehicle was equipped with a defective engine, Plaintiff would not have purchased the Subject Vehicle.” (Compl., ¶ 60.)

The

Court finds that Plaintiff alleged the elements of fraud with the requisite particularity. (See *Dhital v. Nissan N. Am., Inc.* (2022) 84

Cal.App.5th 828, 844 [“[P]laintiffs alleged the CVT transmissions installed in numerous Nissan vehicles (including the one plaintiffs purchased) were defective; Nissan knew of the defects and the hazards they posed; Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose that information; Nissan intended to deceive plaintiffs by concealing known transmission problems; plaintiffs would not have purchased the car if they had known of the defects; and plaintiffs suffered damages in the form of money paid to purchase the car.”].)

Thus,

the demurrer cannot be sustained on this ground.

2.

Duty to Disclose

Additionally,

Defendant argues that the Fraudulent Inducement – Concealment cause of action is subject to demurrer because Plaintiff has failed to sufficiently allege a duty to disclose.

Absent a fiduciary relationship

between the parties, a duty to disclose can arise in only three circumstances:

(1) the defendant had exclusive knowledge of the material fact; (2) the defendant actively concealed the material fact; or (3) the defendant made partial representations while also suppressing the material fact. (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 312; *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.) The California Supreme Court “has described the necessary relationship giving rise to a duty to disclose as a ‘transaction’ between the plaintiff and defendant” (*Bigler-Engler*, supra, 7 Cal.App.5th at p. 311; *Warner Construction Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294; *Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4th 1178, 1187–89 [rejecting concealment claim where plaintiffs “were not involved in a transaction with the

parties they claim defrauded them”]; LiMandri, supra, 52 Cal.App.4th at p. 337 [“such a relationship can only come into being as a result of some sort of transaction between the parties”].)¿¿

The Bigler-Engler Court

explained that a duty to disclose facts “arises only when the parties are in a relationship that gives rise to the duty, such as “seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement[]”” and, in the absence of a fiduciary relationship, a fraudulent omission case may be grounded on one party’s exclusive knowledge of material facts, active concealment of material facts or suppression of material facts in the context of a partial disclosure, but only where the parties share some sort of relationship in which a duty to disclose may arise.¿(Bigler-Engler, supra, 7 Cal.App.5th at p. 311 [citing to Shin v. Kong (2000) 80 Cal.App.4th 498, 509].)¿

The Bigler-Engler Court goes further to state that

“[s]uch a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.”¿(Id. at p. 312.)¿

In Dhital,

the Court concluded that allegations were sufficient to support the existence of a buyer-seller relationship between the parties as “Plaintiffs alleged that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan’s authorized dealerships are [the manufacturer’s] agents for purposes of the sale of Nissan vehicles to consumers. (Dhital, supra, 84 Cal.App.5th at p. 844.)

The

Court finds that Plaintiff has sufficiently alleged facts supporting a duty to disclose. Here, Plaintiff has alleged a direct transaction between Plaintiff and Defendant. (Compl., ¶ 6.) Plaintiff specifically alleges that “[o]n or about December 29, 2023, Plaintiff entered into a warranty contract with Defendant Honda regarding a 2024 Honda Civic, vehicle identification number 2HGFE1F91RH303063 (“Subject Vehicle”), which was manufactured and or distributed by Defendant HONDA.” (Ibid) This alone is sufficient to impose upon Defendant a duty to disclose. (Dhital, supra, 84 Cal.App.5th at p. 844.) Although Plaintiff did not purchase her vehicle directly from Defendant, she did enter into a direct contractual warranty agreement with Defendant. (Comp., ¶¶ 6-7, Ex. A;

see LiMandri, supra, 52 Cal.App.4th at p. 336 (“parties entering into any kind of contractual agreement”) (emphasis added); Rattagan, supra, 17 Cal.5th 1 (same).) The alleged parties to the warranty are Plaintiff and Defendant and the warranty itself is “some sort of transaction” between the two parties giving rise to a duty to disclose. Thus, Plaintiff has pled sufficient facts to establish a duty to disclose. The demurrer to the fifth cause of action cannot be sustained on this ground.

3.

Economic Loss Rule

Defendant

lastly argues that the economic loss rule bars Plaintiff’s fraud cause of action.

The

Court disagrees.

As

the Dhital Court explained, “under California law, the economic loss rule does not bar [P]laintiff’s claim here for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court (Citation) and [P]laintiff[] allege[s] fraudulent conduct that is independent of [Defendant’s] alleged warranty breaches.” (Dhital, supra, 84 Cal.App.5th at p. 843; see also Rattagan, supra, 17 Cal.5th at p. 38 [“A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship [T]he independent tort duty to refrain from engaging in fraudulent conduct is well established by statute and common law”].) Because Plaintiff has adequately alleged fraud, the claim is not barred by the economic loss rule.

The

Demurrer to the fifth cause of action is overruled.

3.

Motion to Strike

“In

order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff." (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255. Accord, Spinks v. Equity Residential Briarwood Apartments (2009) 171 Cal.App.4th 1004, 1055.)

Fraudulent

acts of concealment may support awards of punitive damages. (E.g., Werschull v. United Cal. Bank (1978) 85 Cal.App.3d 981, 1004.)

In Lemon

Law cases, as to vehicle sales through dealerships acting as manufacturer agents, a car manufacturer's presale fraud or concealment is distinct from its subsequent conduct in breaching statutory warranty obligations, such that plaintiffs can recover punitive damages with a penalty under the Song-Beverly Act. (See, e.g., Dhital v. Nissan N. Am., Inc. (2022) 84 Cal.App.5th 828, 841; Bowser v. Ford Motor Co. (2022) 78 Cal.App.5th 587, 627 ["entitled to compensatory damages (and attorney fees) under the Song-Beverly Act as well as punitive damages for fraud."]; Anderson v. Ford Motor Co. (2022) 74 Cal.App.5th 946, 967-973; Covert v. FCA USA, LLC (2022) 73 Cal.App.5th 821, 828 ["we assume ... prayer for punitive damages was based on ... cause of action for fraudulent concealment because the Song -Beverly Act provides for civil penalties, but not punitive damages."]; Santana v. FCA US, LLC (2020) 56 Cal.App.5th 334, 350 ["In the case of fraud, the harm stems from a deception. And in the case of the Song-Beverly Act, it stems from the failure to honor the warranty."].)

Here, the Complaint sufficiently alleges ultimate facts regarding concealment, as analyzed with regard to the Demurrer, which also supports the remedy of punitive damages.

Defendant moves to

strike Plaintiff's request for punitive damages. The Court denies Defendant's request to strike punitive damages because, as determined above, Plaintiff has alleged sufficient facts to plead their Fraudulent Inducement – Concealment cause of action.

Therefore, Defendant's motion to strike Plaintiff's request for punitive damages is denied.

4.

Conclusion

Based on

the foregoing, Defendant's demurrer to Plaintiff's fifth cause of action is overruled. Defendant's motion to strike Plaintiff's request for punitive damages is denied.